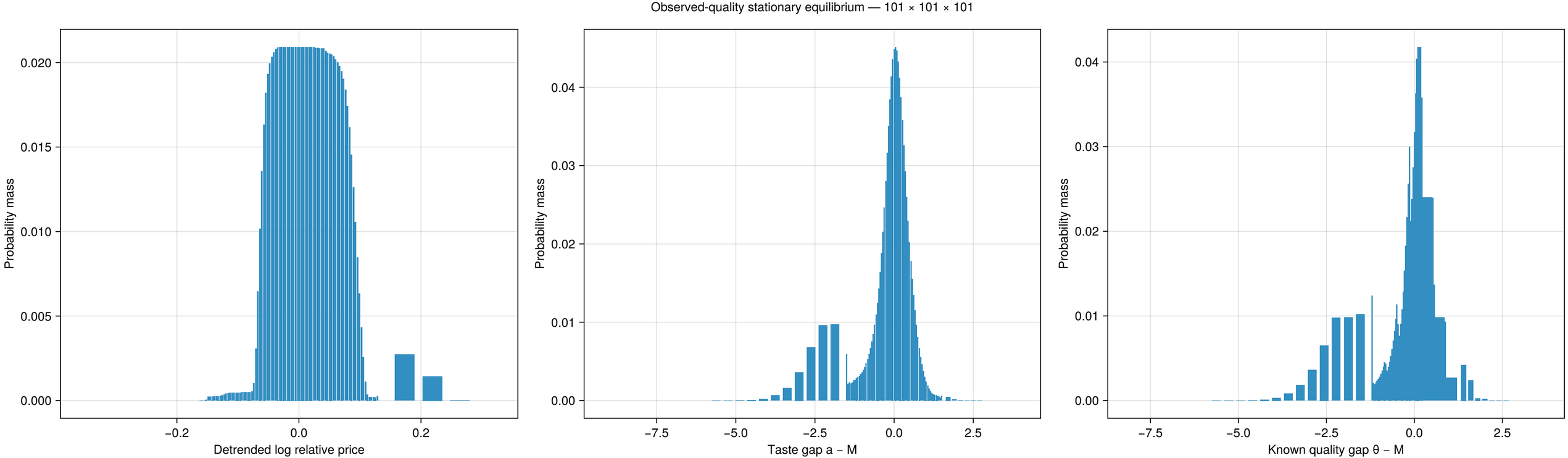
Observed-quality stationary equilibrium — 101 × 101 × 101
Probability mass
0.020
0.015
0.010
0.005
0.000
−0.2
0.0
0.2
Detrended log relative price
Probability mass
0.04
0.03
0.02
0.01
0.00
−7.5
−5.0
−2.5
0.0
2.5
Taste gap a − M
Probability mass
0.04
0.03
0.02
0.01
0.00
−7.5
−5.0
−2.5
0.0
2.5
Known quality gap θ − M